Entrepreneurship & Management functions (DS3000)

Session 3

INDIAN INSTITUTE OF INFORMATION TECHNOLOGY, DESIGN AND MANUFACTURING, KANCHEEPURAM

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Session # 2 Recap

- Value creation and Value capture
- Organizations, Business, Firms and their classification
- Management Principles

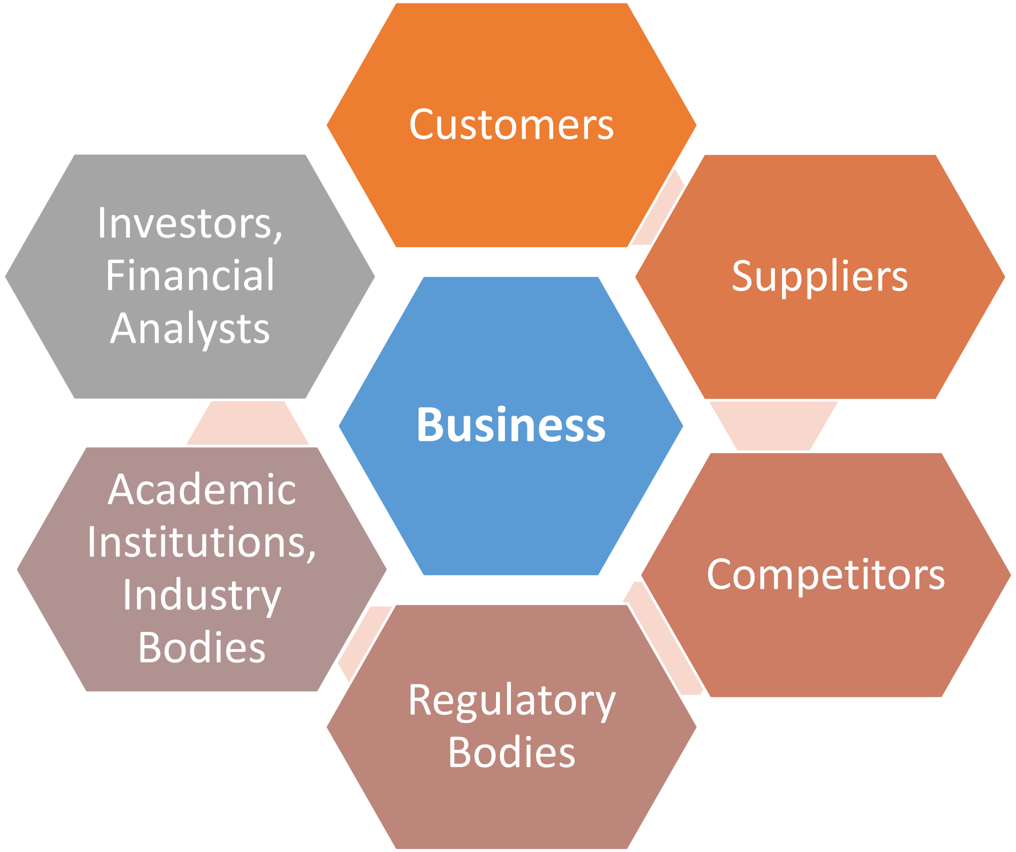
Contents

What is a market (noun)?

Seller + Buyer = Market

Seller	Buyer	Market	
Business	Business	Physical	By types of goods & services exchanged (labor, finance, commodities)
Consumer	Consumer	Virtual	
Government	Government		Legal vs Illegal

Key players in a Business Ecosystem



Different players will exhibit different kinds of pressures on the business (+ve and –ve)

Understanding these pressures and finding a path of alignment is the key for survival and growth over time

Value Creation Model (VCM)

VCM is based on three simple principles.

1. Identify the "Value Gap" and create a service or product that provides value that is needed or wanted by the customer/user
2. Create a product or service that provides more value to the customer than any other alternative available.
3. Create a product or service that is easy to use and cost a lot less than the competition.

VCM is a "zero-sum game" and the winner is not just the person who provides the most value, but the person who provides the most value at the lowest cost.

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Macro & Micro-Economics (Review)

Macro Economics

- Deals with the economy, rather than individual markets or decision-making units.
- Focuses on aggregate economic variables, such as GDP, unemployment, and inflation.
- Analyzes how these variables are interrelated and how they are affected by government policies.

- Examples of macroeconomic topics include:
    - Economic growth
    - Unemployment
    - Inflation
    - Fiscal policy
    - Monetary policy

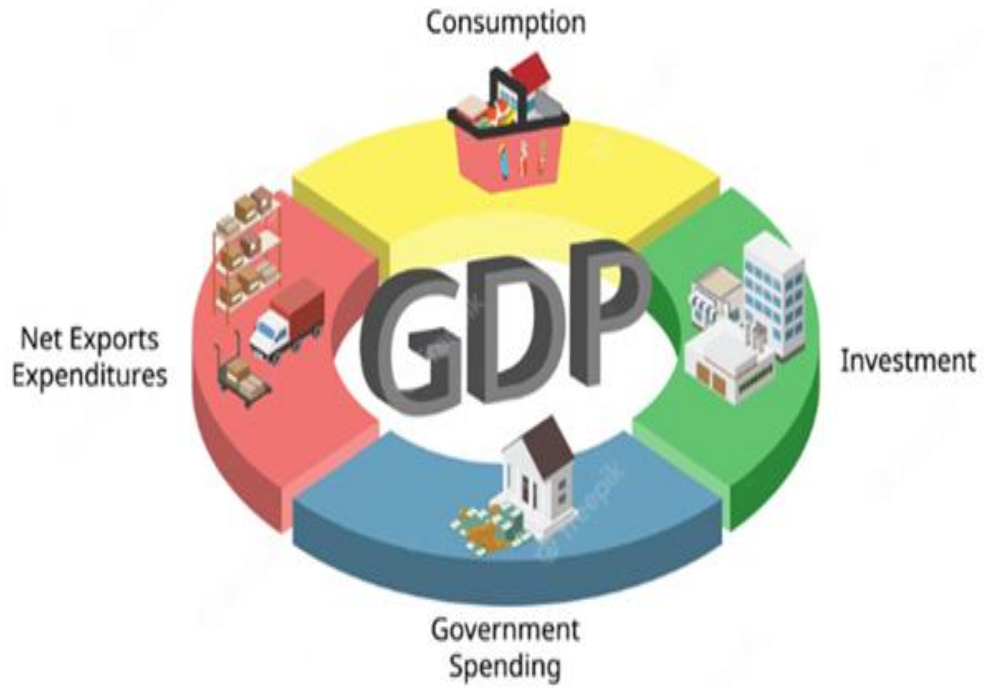
Micro-Economics

- Deals with individual markets and decision-making units, such as households and firms.
- Focuses on how prices are determined and how resources are allocated.
- Analyzes how changes in supply and demand affect prices and quantities.
- In short, It takes a bottom-up approach to analyzing the economy.

- Examples of microeconomic topics include:
    - Demand. Supply and Equilibrium
    - Production Theories
    - Cost of Production
    - Competition
    - Labour economics

Gross Domestic Product (GDP)……1/3

- Gross domestic product (GDP) refers to the monetary value of a nation’s finished domestic goods and services during a specific time period (Quarter, Year)
- valuable measure of the **<u>size and health</u>** of the nation’s economy.
- Can be used to track economic growth, compare the nation’s economy to other economies, and assess the impact of government policies.
- Three methods of calculating GDP
    - Expenditure approach
    - Production approach and
    - Income approach.



Gross Domestic Product (GDP)……2/3

Expenditure approach
(Demand side)

- GDP is total **spending** on final goods/services

GDP = C + I + G + NX

- **C** represents consumption, which is the spending of households on goods and services.
- **I** represents investment, which is the spending of businesses on capital goods and inventories.
- **G** represents government spending, which is the spending of the government on goods and services.
- **NX** represents net exports, which is the difference between exports and imports.

Income Approach
(Supply side)

- GDP is total income earned goods/services

GDP = W + R + I + P + (T – S)

W: Wages
R: Rent
I : Interest
P: Profits
T: Taxes
S: Subsidies

Production (Value added) Approach

- GDP is total **value created** at each stage of production

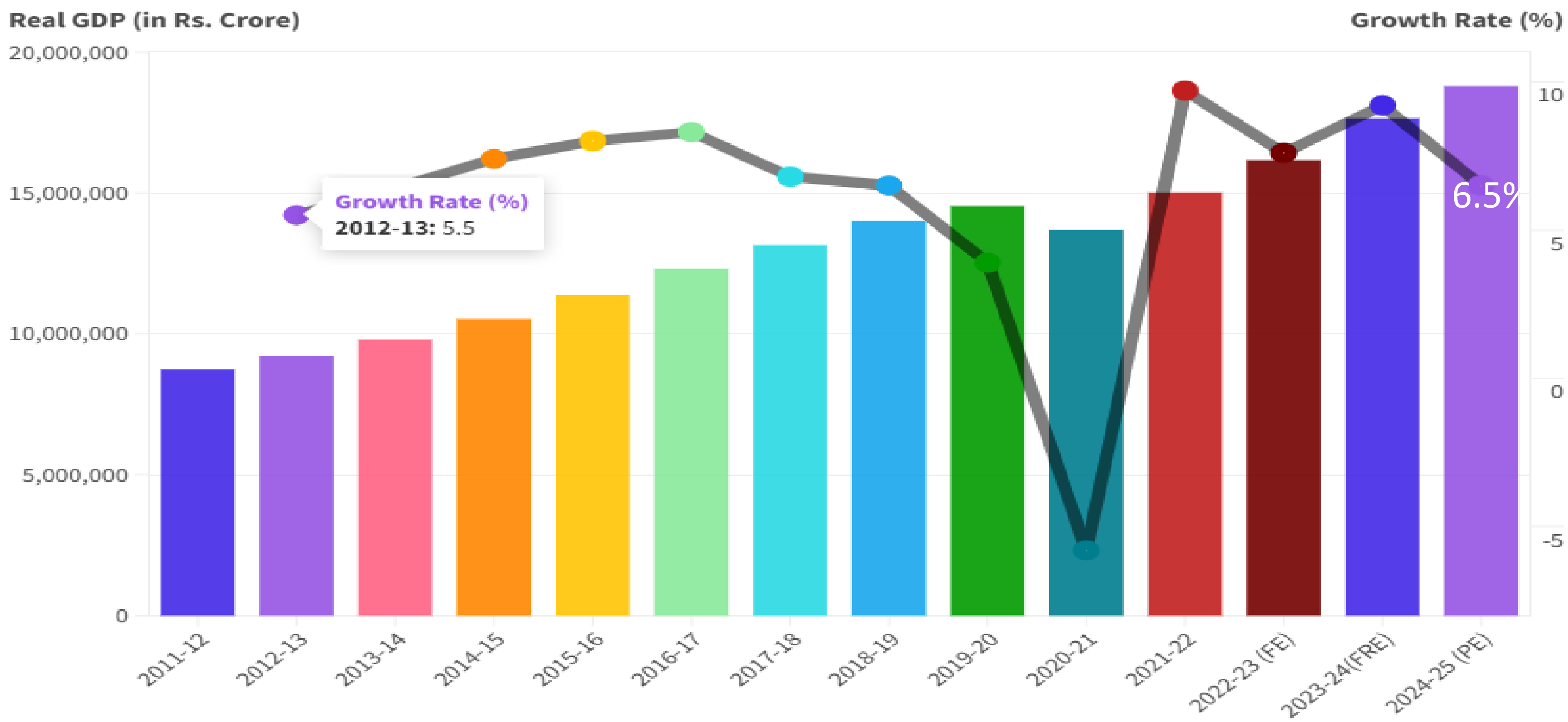
Value Added = Output – Intermediate Inputs.**

**Avoids double counting

Gross Domestic Product (GDP)......3/3

Description	Nominal GDP	Real GDP
Definition	Total value of Goods and Services Produced at current prices	Total value of Goods and Services calculated at constant process (adjusted for inflation)
Impact of inflation	Includes Inflation	Adjusted for inflation
Relevance/usefulness	Short term analysis; comparison of economies For assessing size of economy in rupee/dollar terms	Long term analysis; measure of economic growth
Calculation	Based on current market prices	Based on base year prices
India GDP figures (FY2024)	₹324.11 lakh crores (+9.7% growth rate over FY2023)	₹184.88 lakh crores (+ 6.4 % growth rate over FY 2023)

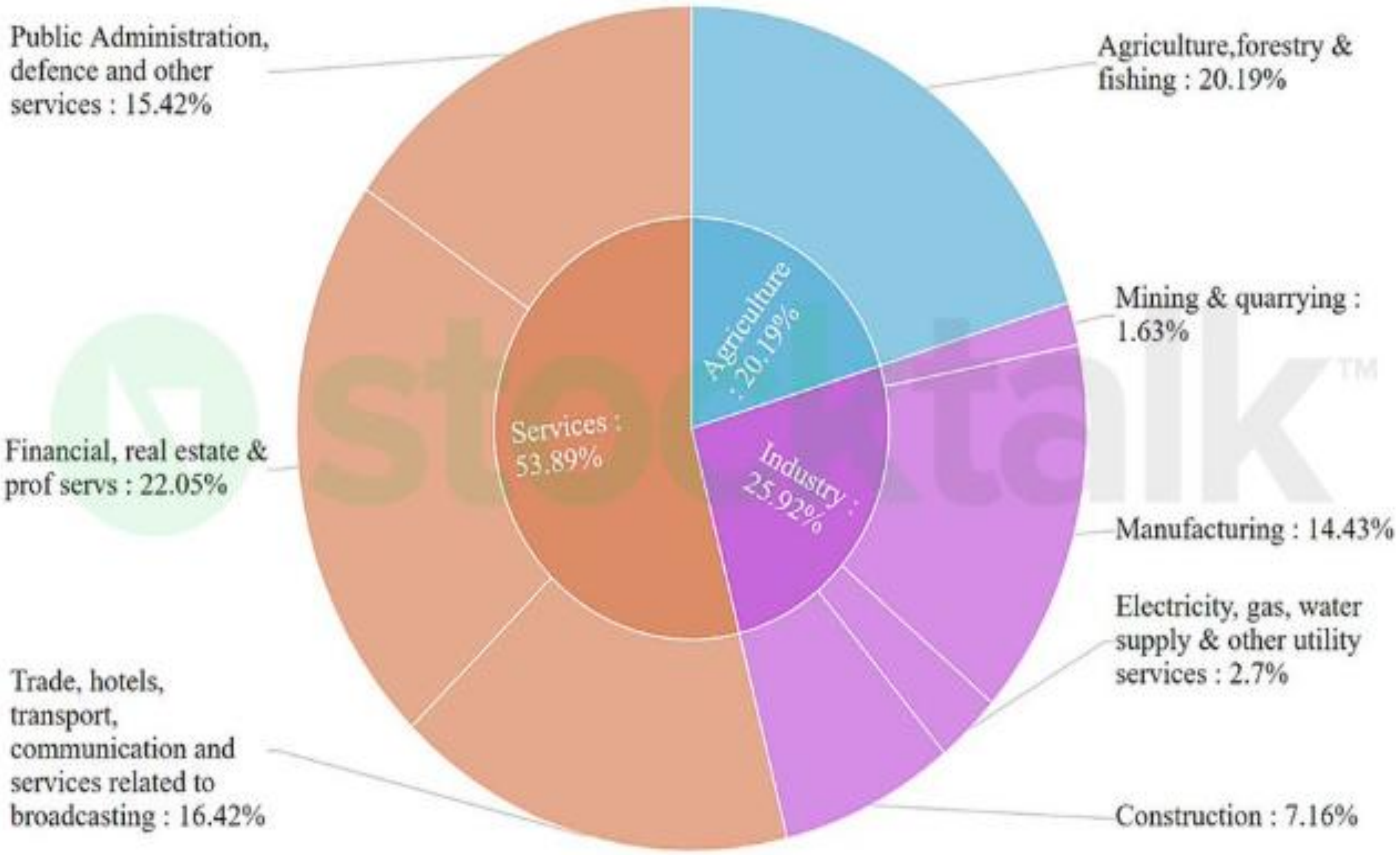
GDP and Growth Rate : India



Note: Growth Rates Calculated with respect to Previous Year; FRE: First Revise Estimate; FE: Final Estimates; PE: Provisional Estimates

Source: https://www.mospi.gov.in/dataviz

Sector Contribution to GDP India (2023- 2024

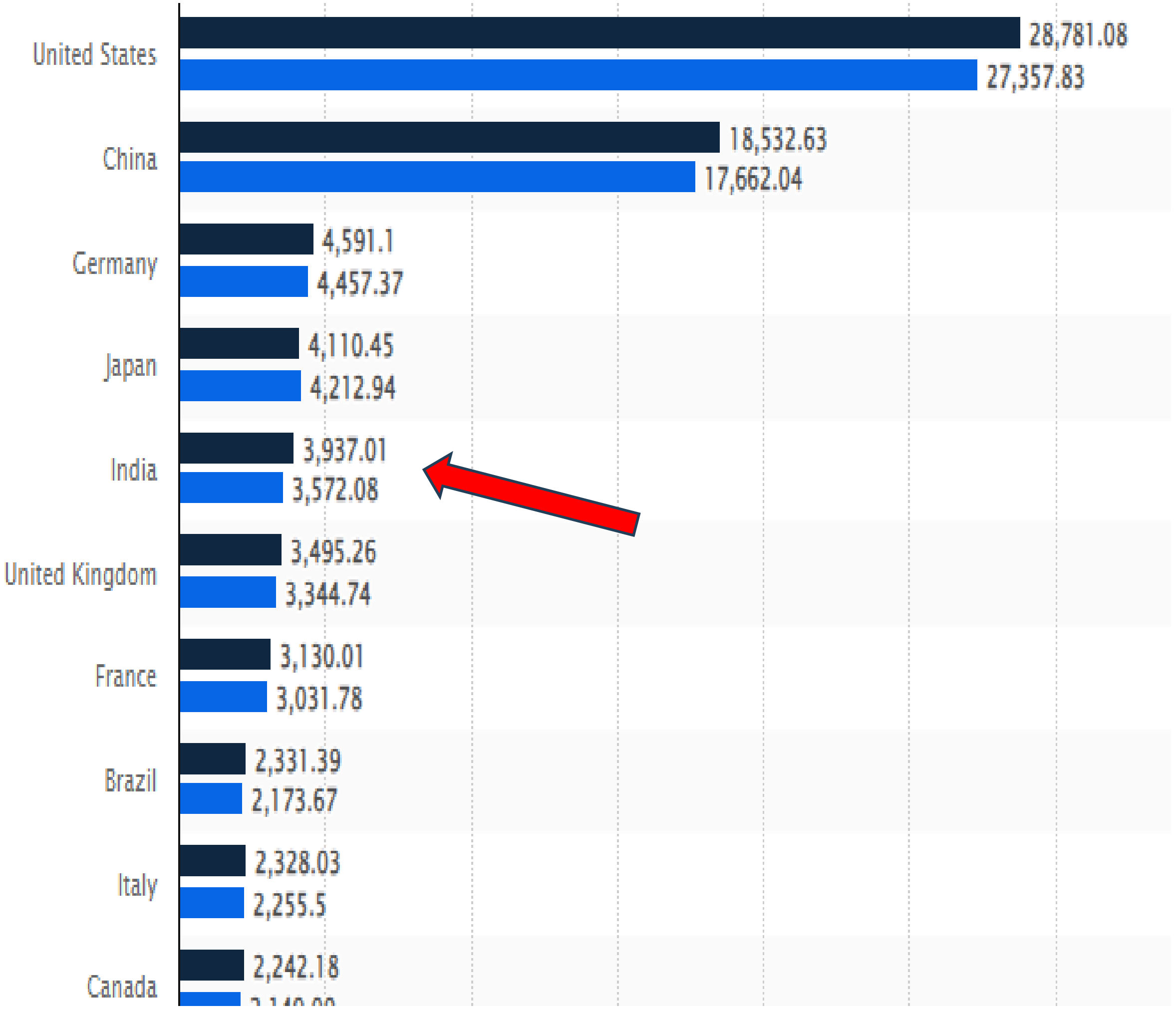


Source: Stocktalk

Top 10 economies with largest GDP in 2024

(Data from IMF as of July 2024)

Rank	Country	GDP in USD	GDP per capita (USD
1	United States of America	$28.78 trillion	$85370
2	China	$18.53 trillion	$13140
3	Germany	$4.59 trillion	$54290
4	Japan	$4.11 trillion	$33140
5	India	$3.94trillion	$2730
6	United Kingdom	$3.5 trillion	$51070
7	France	$3.13 trillion	$47360
8	Brazil	$2.33 trillion	$11350
9	Italy	$2.33 trillion	$39580
10	Canada	$2.24 trillion	$54870



GDP : Interesting Fact

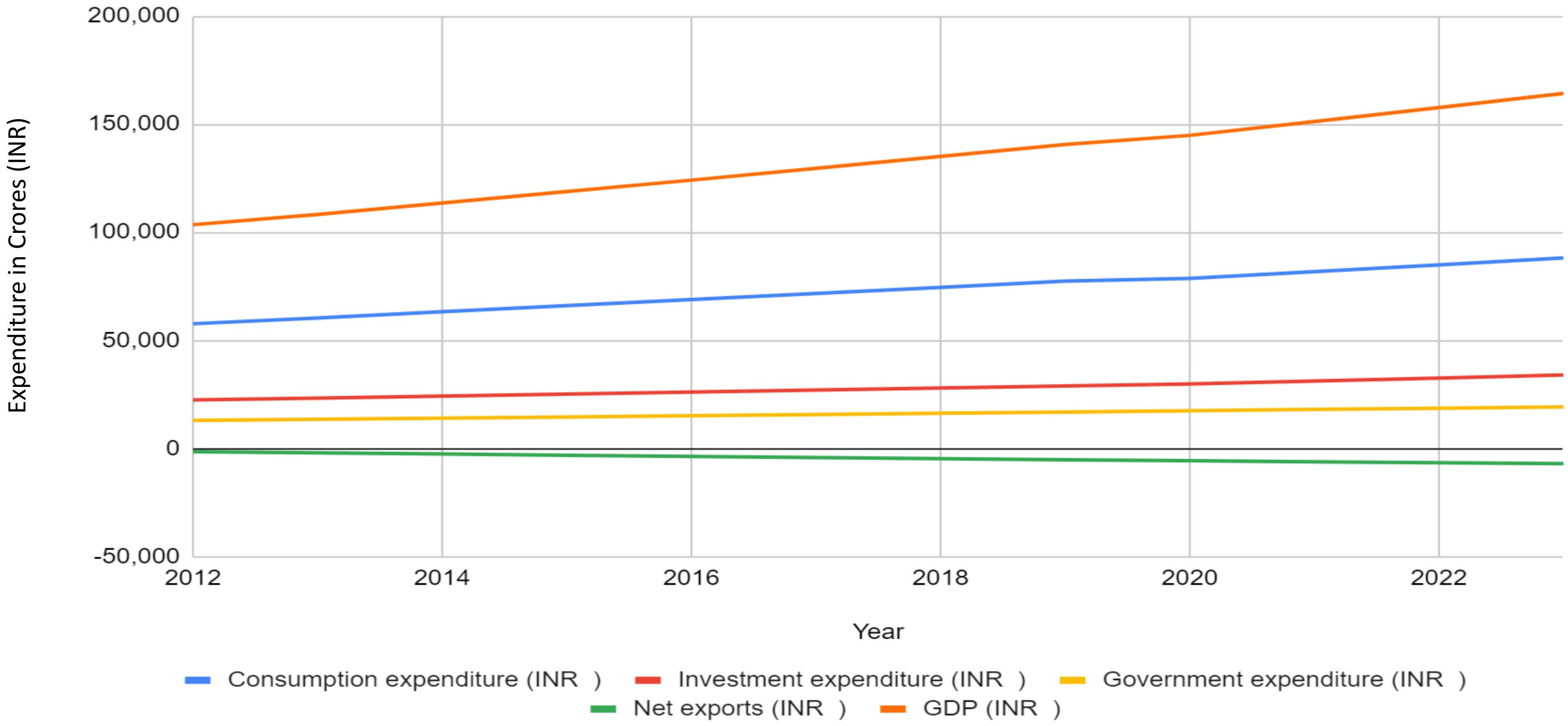
- **NVIDIA market capitalization : <u>4.4 trillion USD**</u>**

- **Market capitalization** represents the total dollar market value of a company's outstanding shares of stock.

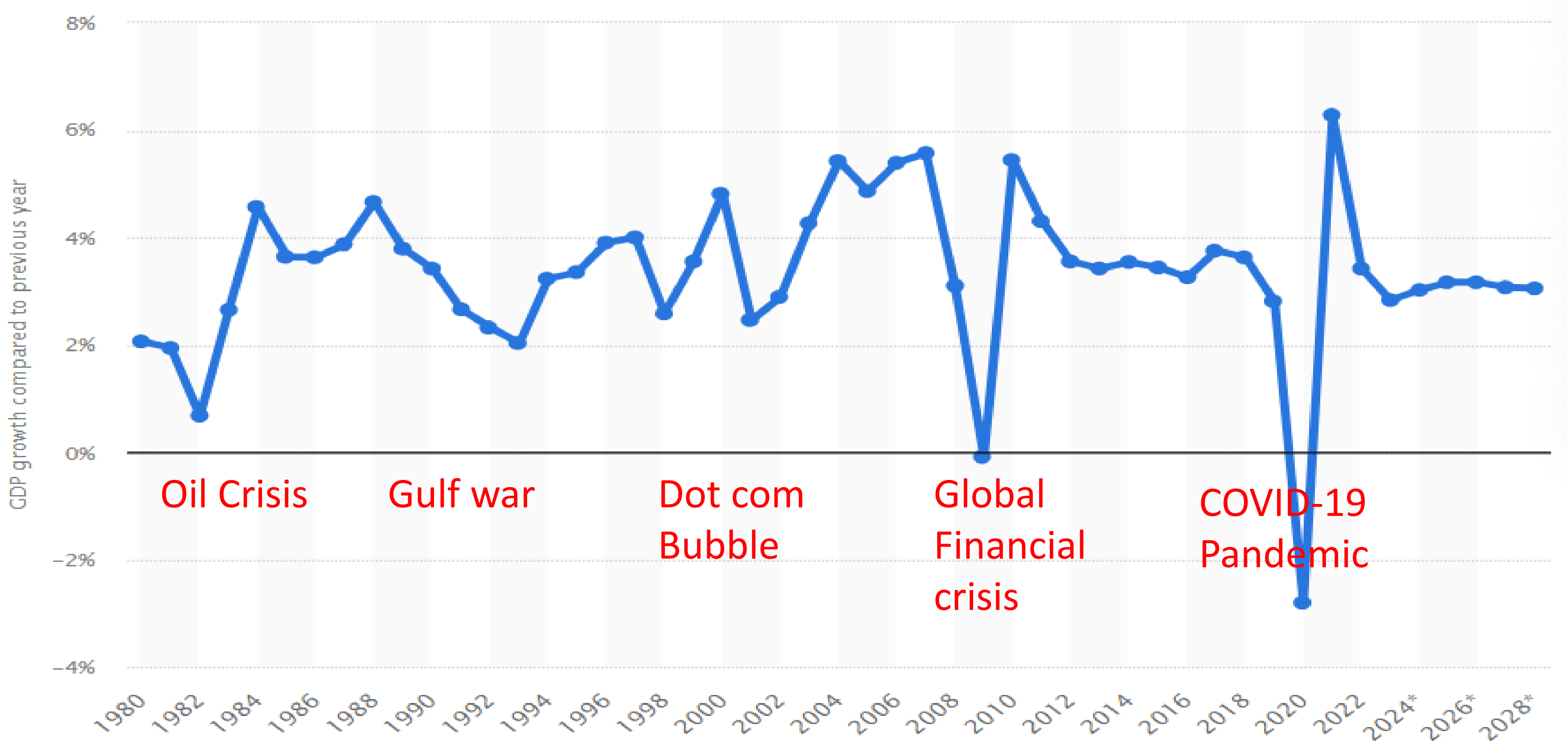
$$Market\ Cap = Price\ Per\ Share \times Shares\ Outstanding$$

** As of Aug 2025

Breakup of GDP by Expenditure Components (2022)



Growth of Global GDP from 1980 to 2022



https://www.statista.com/statistics/273951/growth-of-the-global-gross-domestic-product-gdp/

Inflation

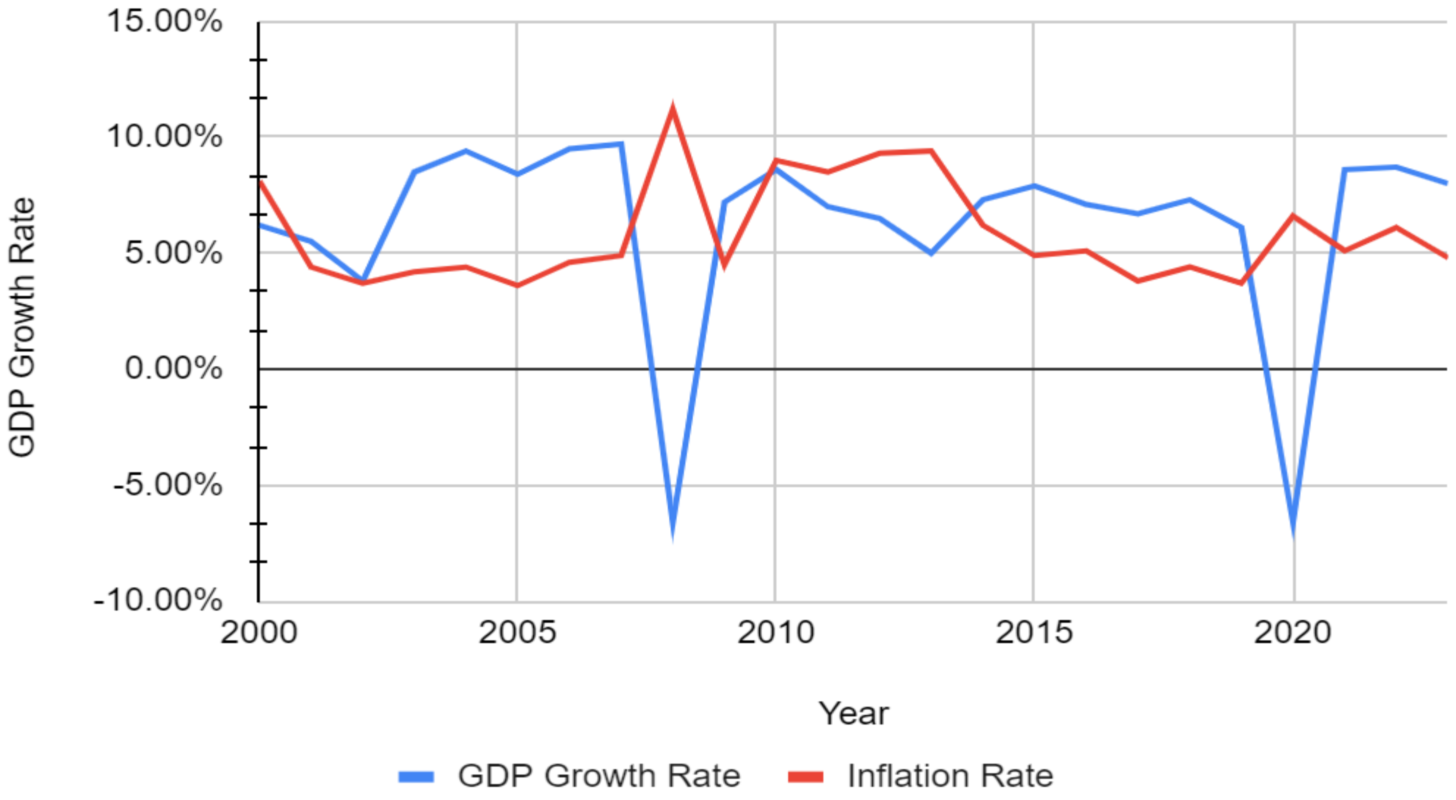
- General increase in prices and fall in the purchasing value of money.
- When the general price level rises, each unit of currency buys fewer goods and services. Consequently, inflation corresponds to a reduction in the purchasing power of money.

Causes

- **Increased demand:** If the demand for goods and services increases, but the supply does not increase at the same rate, prices will rise.
- **Increased supply of money**: If the government prints more money, the value of money will decrease, which will lead to inflation.
- **Decreased productivity**: If the productivity of workers decreases, businesses will have to raise prices to cover their costs.
- **Supply shocks:** Supply shocks, such as a natural disaster or a war, can disrupt the supply of goods and services, leading to inflation *(Monsoon Rains causing shortage of Tomatoes, Chip shortage since Pandemic)*

- Inflation is measured by the Consumer Price Index (CPI). The CPI is a basket of goods and services that is used to track the prices of goods and services over time.
- Expressed as a percentage
- The CPI is calculated by the Central Statistics Office (CSO) in India

Growth Rate and Inflation : India



Generally, GDP and Inflation follow an Inverse relationship

Contents

Session -2 Recap

Understanding the Business eco system

Macro and microeconomics, GDP and other Indicators

Competitive Strategy : Porter's Five Forces Model

Strategy

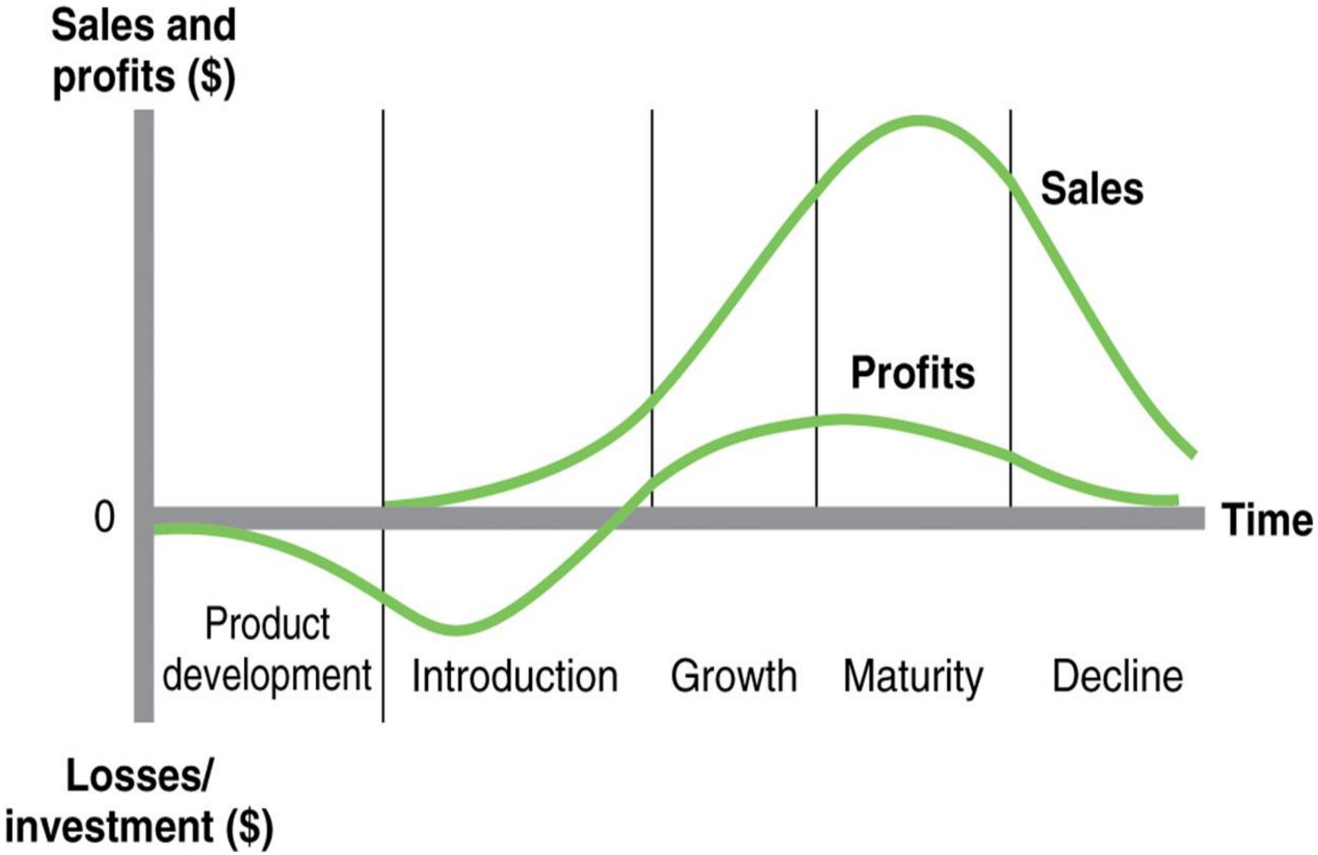
"Strategy is the creation of a unique and valuable position, involving a different set of activities.“………………… *Michael Porter*

"Strategy is a pattern in a stream of decisions.“…. *Henry Mintzberg*

"Strategy is the art of creating advantages.“……….. *Kenichi Ohmae*

"Strategy is the determination of the basic, long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of resources necessary for those goals.“……. *Alfred Chandler*

Understanding Life Cycle



Stages of Product Life cycle:

1) Development
2) Introduction
3) Growth
4) Maturity
5) Decline/ Resurrection

Industry Life Cycle

	Emergence	Growth	Maturity	Decline
Market Size				
Indicators	High growth potential, limited or no regulation, no direct competition	Fragmentation, no dominant player, shapeable regulation	Low growth, high concentration, stable regulation, mature industry	No growth, restricted financing, losses
Rivalry among players	Low (high product differentiation)	Increasing (weak buyers, low entry barriers)	Strong (stronger buyers, higher entry barriers)	Extreme (many exits, price competition)
Strategy focus	Innovation	Ability to grow	Market share, lower costs	Ramp down, disengage

Industry Life Cycle (some examples)

- Personal computers for word processing replacing Typewriters
- Decline of Photographic Films (Kodak) with Digital Cameras

- Important to identify the product decline and plan for launch of products ahead of the decline phase- This is the part of the Strategy

Porters Five Forces Model

- **Rivalry among existing firms:** This force measures the intensity of competition between existing businesses in the industry.
- **Bargaining power of buyers:** This force measures the ability of buyers to negotiate lower prices from businesses.
- **Bargaining power of suppliers:** This force measures the ability of suppliers to negotiate higher prices from businesses.
- **The threat of new entrants:** This force measures the likelihood of new businesses entering the industry.
- **The threat of substitute products or services:** This force measures the likelihood of new products or services replacing existing ones.

Five Forces in the Airlines Industry

- Huge amount of capital investment is a barrier to a new entrant
- Exiting not easy due to lengthy and complex contracts

Threat of New Entrants

Low to Medium

Bargaining Power of Suppliers

Strong

Competitive Rivalry

Bargaining Power of Buyers (customers)

Strong

Three main suppliers of Aircraft, Fuel Labour (Strong Pilot unions)

Low to Medium

Direct access to schedules, fares etc that helps them make decisions

Threat of Substitutes

Road, Train, Sea

Sixth Force on the Porters Five Force Model

- are businesses that offer complementary products or services to yours and can be a fantastic way of driving growth and profits for your business.
- Complementors can be other firms, industry organizations, or individuals collaborating with the company to increase product demand and create a competitive advantage.
- a restaurant may partner with a delivery service to provide its customers with additional dining options they otherwise would not have access
- company that sells mobile phones might have complementors in the form of app developers or accessory manufacturers.
- APPLE, UBER, NVIDIA

Porter’s Model : Limitation

- assumes that the industry under consideration is clearly definable and distinguishable. (Many industries today are complex, and a clear definition is a challenge)
- primarily looks at existing industry conditions. It assesses the competitive forces based on historical data.
- focusses on individual organizations and does not account for partnerships
- relies more on the industry factors rather than the internal capabilities of the organization to be the main determining factors for growth and profitability
- Does not address globalization impact : model was developed before the era of widespread globalization.
- Treats all forces with equal weightage , which may not be necessarily true. (In Technology driven companies may be more influenced by threat of new entrants and substitutes than suppliers bargaining power.

An example from manufacturing: Five Forces in the Indian Automotive Industry (passenger cars)

Threat of New Entrants

- *Capital and labor intensive*
- *Availability of trained manpower*
- *Economies of scale for large manufacturers*
- *Some technology protection*

Bargaining Power of Suppliers

- *Low Bargaining Power*
- *Semiconductor Supply chain risks*
- *Low cost of substitution*

- **Too many competitors in car manufacturing,** very few in LCV, tractors
- **Low customer loyalty**
- **Some brand power, but no real pricing power**
- **Low switching cost**
- **High cost of exiting market**

Increasing Buyer Power

- *Small size of buyers/orders (changing)*
- *Extreme price sensitivity*
- *High ability to substitute*
- *Low cost of substitute*

Threat of substitutes

- *Low cost of substitution*
- *Multiple product options (example, cheap cabs on hire)*

Source: Public Information

An example from services: Five Forces in the Healthcare Industry (Hospitals)

Threat of New Entrants

- *High capital requirements*
- *Heavily regulated by the government (including certifications)*

Seller Power

- *Some threat from medical equipment companies*
- *Large number of suppliers*
- *Power of leading specialists*

Rivalry

- **Hospitals face less competitive rivalry**
- **Strong customer loyalty**
- **Expertise driven**

Buyer Power

- *Consumers have little power*
- *Cannot negotiate on pricing*

Threat of substitutes

- *Home care and natural treatments, preventive care*

Source: Public Information

An example of agri-business: Five Forces in the Indian Dairy Industry

Lowering of Entry Barriers

- *WTO & Deregulation within domestic sector - opens options for large players and corporate sector investment*

Weak Seller Power

- *Controlled by Collection Agents*
- *Inaccessibility of dairy plans*
- *Delayed recovery*

- **Indian Milk production growing at 5-6%**
- Global Supply stagnating at 1 %
- **Low penetration of Organized sector** (10-20% of total)
- **Under-utilization of existing processing capacity** (Due to Location, Delayed Payments)
- **Key differentiators - Price / Product Purity / Variety** Health Perspective Missing)

Increasing consumer spending

- *Total spending on Milk & Milk products in India growing @ 11%*
- *Willingness to pay higher price for quality/vitamins*
- *Global Demand 2% p.a.*
- *New markets opening up - EU*

Threat of substitutes

- *Substitute products - synthetic, easy to carry, other beverages*
- *Resistance to milk products*

Source: Public Information (dated)

Last Slide

Activities

3.1 List the key market players for your product / company

3.2 Identify atleast 3 publicly listed , who are competitors to your company

3.3 Analyze competitive forces for the Industry sector your company

Discussion

Do you consider an Institution like IIITDM to be Non Profit or otherwise

Discussion :

- Identification of Problem statement for “ Cab Services”

Class Activity

Porter's Five Forces Model

Carry out the analysis for the following Industry segments

1. Automotive Industry
2. Information Technology Services